Bharat Heavy Electricals Ltd (BHEL)

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: BHEL · BSE: 500103 · Report prepared 7 Nov 2026
Not investment advice. Do your own due diligence. An AI-generated reading of the company's own filings, investor deck and public financials. It follows on from our Q1-2027 report on BHEL and stands on its own.

Read this first: no earnings-call transcript this quarter either. BHEL has not filed a transcript for Q2 FY27. We checked its NSE announcements from 1 July to 7 November 2026, Screener.in (newest call it lists is May 2026) and bhel.com. The only investor contact disclosed was one-to-one and group meetings in Mumbai on 4 November 2026, where, per the filing, "the Company will not make any presentation." So, like the Q1 report, this one is built from BHEL's written Q2 FY27 investor deck (14 Oct 2026), the results filing, the board-meeting outcome, order-win announcements and credible press coverage. Where we quote management, we quote those documents.

1 Snapshot

What the business does: BHEL is India's biggest government-owned heavy-engineering company (the state owns about 63%). Its core job is building the boiler, turbine and generator (BTG) at the heart of a power station, and more and more it builds the whole plant as an EPC contractor (engineering, procurement and construction: it designs, buys, builds and hands over a working station). It also makes transmission transformers, rail traction gear, naval guns and nuclear turbines. The order book is work already won but not yet built and billed.

Measure	Value	Plain read
Market cap	₹1,45,829 cr	What the market values the whole company at, about ₹1.46 lakh crore. Share ₹419 against a 52-week range of ₹239–464.
Order book (30 Sep 26)	₹2,57,571 cr	Work in hand, up 17% on a year ago but a touch lower than the ₹2,60,255 cr of June: billing outran new wins this quarter.
Q2 FY27 revenue	₹9,300 cr	Sales in Jul–Sep 2026, up 24% on ₹7,512 cr a year ago. Half-year sales up 31%.
Q2 FY27 net profit	₹810 cr (standalone)	Up 120% on ₹368 cr. First half profit ₹1,192 cr against a loss of ₹87 cr a year earlier. Consolidated profit ₹821 cr.
EBITDA margin	13.4% vs 9.9%	EBITDA = operating profit before interest, tax and depreciation. BHEL now keeps about ₹13 of every ₹100 of sales as operating profit, up from ₹10.
Trailing-12-month profit	₹2,878 cr (consol.)	Last four quarters added up, well above FY26's ₹1,578 cr.
Customer collections	₹13,179 cr	Cash collected in the quarter, up 33%, and well above the quarter's billing. Receivable days fell to 94 from 120: customers pay faster.
P/E · ROCE	50.7 · 9.1%	The share costs about 51 years of current profit. Return on capital is still only about ₹9 a year per ₹100 tied up. Pricey for that return.

2 Coverage: what is new in this report

Period	Date	Read?
Q4 FY22 → Q4 FY26	May 2022 → May 2026	Carried forward from our Q4-2026 and Q1-2027 reports, not re-read.
Q1 FY27 (boundary of last report)	16 Jul 2026 (results + deck)	Covered in the Q1-2027 report. No transcript existed.
Q2 FY27 (Jul–Sep 2026)	14 Oct 2026	**Newly read in full** ★ Q2 FY27 Supplementary Information deck, results filing, board-meeting outcome (14 Oct), NSE filings Jul–Nov 2026 incl. the Adani Power and PGCIL order announcements, and press coverage of the segment results.

Only the new quarter was read in full; older history comes from the prior reports. We could not open the filed results PDF itself (the exchange copy was damaged), so segment figures below are as reported by press coverage of that filing.

★ Latest update highlights: Q2 FY27 (results 14 Oct 2026)

- **Profit more than doubled.** Revenue ₹9,300 cr (+24%), EBITDA ₹1,286 cr (+69%), net profit ₹810 cr (+120%). Plain read: each extra rupee of sales is now bringing a lot more profit with it.
- **Both segments earned better margins.** Power revenue ₹6,638 cr (+17%) at a 12.9% segment margin; Industry revenue ₹2,662 cr (+45%) at 19.5%. In Q1 the industry arm's profit had fallen; this quarter it bounced back hard.
- **But new orders dried up.** Only about ₹4,000 cr booked in Q2 (hydro packages for Heo and Tato-I, 265 traction transformers, an FR6B gas turbine, compressors). That's down about 85% on a year ago per Nuvama, and the order book slipped slightly from June.
- **The gap got filled after quarter end.** On 4 Nov 2026 BHEL announced BTG orders from Adani Power for four 2×800 MW projects, each worth ₹5,000–7,000 cr, so roughly ₹20,000–28,000 cr in all. On 7 Nov came a ₹600–900 cr PGCIL order for synchronous condensers at Barmer-II. These count in Q3.
- **Building is behind the yearly plan.** 2,260 MW of capacity added in H1 against a full-year target of 4,790 MW, under half. The board approved about ₹500 cr of new thermal and nuclear set capacity at Haridwar.

Business mix & capacity. Revenue mix Q2 FY27: Power ~71%, Industry ~29% (Industry was 23% in Q1). Plain read: industry work is finally growing faster than power. Non-thermal order book (nuclear ~₹12,800 cr, transmission ~₹13,600 cr, defence ~₹7,300 cr, rail ~₹16,400 cr, coal gasification ~₹9,000 cr, hydro ~₹6,400 cr, spares ~₹4,000 cr) ≈ ₹69,500 cr, about 27% of the book versus ~25% in June. Order book ≈ 6.8 years of trailing sales. Domestic/export revenue split and plant utilisation: not disclosed. The deck's only capacity number is commissioning: 2,260 MW of 4,790 MW target done by September.

★ Since our last report

Builds on our Q1-2027 report (prepared 3 Aug 2026, boundary: Q1 FY27 results of 16 Jul 2026). Its verdicts: **durable earning trigger: YES**, **management consistent: YES**. That report had no checkpoints section, so its live promises are scored below.

Prior read	What we said then	What Q2 shows	Movement
Trigger: YES	Thermal super-cycle; power segment finally profitable.	Power margin up again to 12.9% (from ~9.5% in Q1); profit +120%.	Confirmed
Consistency: YES	They called the H2 FY26 into FY27 turn and it landed.	Second straight quarter of sharp profit growth; no story change in the deck.	Confirmed
Margin recovery continues	Operating margin turned positive in Q1.	EBITDA margin 13.4% vs 9.9%; gross margin ~38% vs ~32%.	Confirmed
Non-power toward 50:50	Slipping: industry profit fell in Q1, share stuck at 17%.	Industry revenue +45% at a 19.5% margin; non-thermal ≈27% of the book; Titagarh JV for Vande Bharat sleeper maintenance signed.	Improving
Order inflow momentum	On-track, thinly: Meja was most of Q1.	Q2 inflow only ~₹4,000 cr. Adani's four BTG orders landed in November, after quarter end.	Slipping (repair under way)

Checkpoint results (promise rows): Delivered | Partly | Missed for margin recovery, non-power share and order inflow respectively, not applicable to verdict rows.

Verdict change: both unchanged. The margin story got stronger and the industry arm stopped going backwards. The September quarter's order drought and the slow commissioning keep either from going up.

★ 3. Earning-trigger thesis

India is building coal power stations again after a decade off, and BHEL is one of two home-grown suppliers of the boiler-turbine-generator sets. Its book holds about seven years of work. Last quarter the proof was that the power business stopped losing money. This quarter the proof is that margins kept widening across both segments while cash came in faster than billing. The one soft spot is new orders, and the four Adani Power BTG contracts in November suggest that was timing rather than a dried-up pipeline.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Thermal ordering cycle	"Rs. 2.57 lakh crore order book provides a strong platform for future revenue conversion."	Book +17% y/y; Adani 4×(2×800 MW) BTG orders in Nov; Q2 inflow weak.	Multi-year	Strong	Unchanged: weak Q2 inflow offset by Adani.
Margin repair	"Disciplined execution enabling targeted topline and margins."	EBITDA margin 13.4% vs 9.9%; H1 EBITDA ₹2,020 cr vs ₹411 cr; receivable days 94 vs 120.	1–3 years	Strong	↑ wider again, now in both segments.
Non-power diversification	"Transmission, defence, rail, exports, coal gasification and green hydrogen extend the growth runway."	Industry revenue +45%; Titagarh JV (15 Sep); PEM electrolyser tie-up (13 Aug); equity in CIL–BHEL ammonium-nitrate JV.	3–5 years	Moderate	↑ from weakening last time.
Commissioning pace	FY27 target 4,790 MW of capacity addition.	2,260 MW done in H1, under half.	This year	Watch	New this report.

3b Trigger check

Trigger type	Yes/ No	What was said (source, date)
Debt cut	Yes	India Ratings upgraded BHEL's credit rating (filing, 12 Aug 2026). Finance cost fell to ₹125 cr from ₹195 cr.
New business	Yes	JV with Titagarh Rail for "comprehensive maintenance of supplied Vande Bharat Sleeper Trainsets" (filing, 15 Sep 2026).
Margin up	Yes	EBITDA margin 13.4% vs 9.9%; "Disciplined execution enabling targeted topline and margins" (deck, 14 Oct 2026).
New management	No	Only a new Director (HR) and routine senior-management retirements; no new CMD or CFO.
New capacity	Yes	Board approved "additional facilities for manufacturing of Thermal & Nuclear Sets at HEEP-Haridwar" for about ₹500 cr (14 Oct 2026). No start date given.
Big orders	Yes	Adani Power BTG orders for 4 projects of 2×800 MW, "each valued at Rs. 5,000 – 7,000 Cr." (4 Nov 2026).
Turnaround	Yes	H1 FY27 profit ₹1,192 cr against a loss of ₹87 cr in H1 FY26 (deck, 14 Oct 2026).
Promoter buying	No	Nothing said.

Single concrete driver: a record thermal order book, topped up by Adani Power's four 2×800 MW BTG orders, is turning into sales at margins that keep widening as old cheap contracts finish.

3c Margin bridge

EBITDA margin 13.4% against 9.9% a year ago, and gross margin about 38% against 32%. Why: the low-priced legacy power contracts keep running off, newer orders carry better prices, sales grew far faster than fixed costs, and interest cost fell as collections improved. Management frames it as structural ("disciplined execution enabling targeted topline and margins"), and two quarters running now back that. **(lasting)**

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Q4 FY22–Q4 FY24	Thermal orders coming; sales to grow 12–15% a year; margin has bottomed.	Orders came; sales grew ~19% in FY25 and FY26; margin rose.	Delivered

FY26 calls	Legacy contracts hold margins down; the turn comes H2 FY26 into FY27; inflow ₹60–70,000 cr.	Turn arrived on time; inflow ~₹76,000 cr.	Delivered
Q1 FY27 deck	"Multi-year growth phase with improving profitability and cash generation."	Q2: profit +120%, margin 13.4%, collections +33%, receivable days 94.	Delivered
FY27 plan	4,790 MW capacity addition this year.	2,260 MW by September. Nuvama cut its FY27 EPS estimate after the commissioning guidance.	Too early (behind)
Ongoing	Non-power toward half the business.	Industry ~29% of Q2 sales, up from 23% in Q1; still no date on the goal.	Partly
Ongoing	Seeking government appointment of independent directors.	BSE and NSE each fined BHEL ₹11.03 lakh (25 Aug 2026) for board and audit-committee composition; BHEL seeks a waiver.	Missed (govt)

Narrative drift: still almost none. The story keeps moving one way: record orders, then orders into sales, then sales into profit and cash. The Q2 deck adds data-centre and AI power demand as an export angle and keeps nuclear, coal gasification and green hydrogen as future engines, but no number is attached to any of them. Two blemishes: no numeric guidance on profit or inflow, so they can only be judged after the fact, and the board still lacks independent directors, now drawing exchange fines.

5 Bottom line: two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

What moved it: margins widened again and the industry arm turned up, so the profit repair is broad, not one segment. Profit more than doubled, collections ran well ahead of billing, and receivable days dropped to 94. The weak spot is Q2's ₹4,000 cr of new orders, but the Adani Power orders worth ₹20,000–28,000 cr arrived within five weeks of quarter end. At about 51 times earnings and a 9% return on capital, the story is better than the price.

Management consistent? → YES

vs last quarter: unchanged

What moved it: nothing pulled it down. The turn they talked up for FY27 is showing in a second straight quarter. Holding it back from anything stronger: commissioning is behind the year's target, there's still no numeric guidance, and the independent-director gap is now costing exchange fines.

★ 6. Checkpoints for next quarter

- Adani Power orders lift the December order book to a new record
- Power segment margin holds at or above the September level
- Capacity addition by December puts the year's commissioning target in reach

Sources: BHEL Q2 FY2027 Results Supplementary Information deck (14 Oct 2026, NSE); BHEL board-meeting outcome on Haridwar capex and unit merger (14 Oct 2026); BHEL NSE filings Jul–Nov 2026: Adani Power order (4 Nov), PGCIL Barmer-II order (7 Nov), investor meetings (29 Oct), senior-management and Director (HR) changes (22/25 Oct, 25 Sep, 25 Aug), Titagarh JV (15 Sep), NBPPL equity (14 Sep), PEM electrolyser tie-up (13 Aug), India Ratings upgrade (12 Aug), exchange fines (26 Aug); press coverage of the segment results and broker notes (Construction World, Univest, Free Press Journal, Oct 2026); Screener.in quarterly data to Sep 2026; our Q4-2026 and Q1-2027 BHEL reports. No Q2 FY27 earnings-call transcript exists. Figures standalone unless marked consolidated.